

Healthcare Compare (Medical Services, NASDAQ, HCCC)

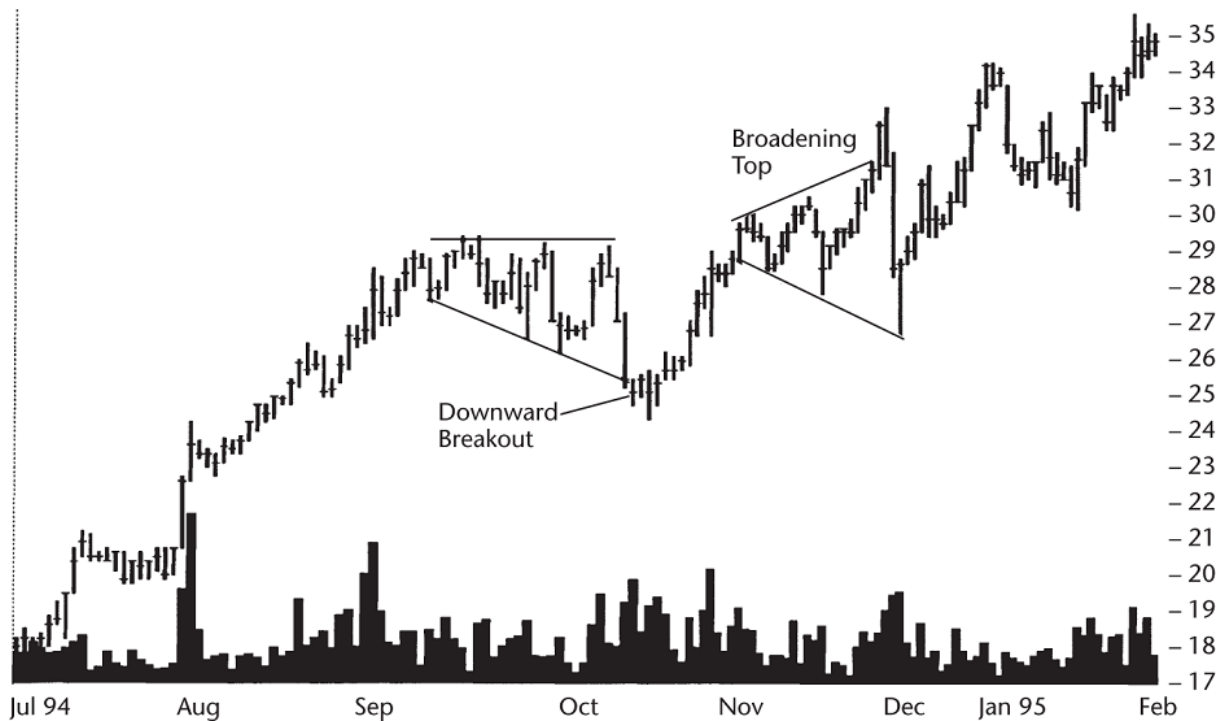


Figure 10.6 This descending broadening pattern (left) results in a 5% failure. A broadening top formed in early November.

Figure 10.6 shows a more harrowing tale because it involves a short sale. Investors watching the sharp 2-day decline beginning 14 October 1994 would be tempted to short the stock the next day. Had they done so, or even waited a few days, they would have opened the trade near the low. From that point on the stock moved higher, back into the formation before ultimately soaring out the top. If you were a novice trader and had not placed a stop on your short sale, your loss would have taken you from a low of 24.38 to 53, where it peaked near the end of the study.

The figure represents a failure type I call a *5% failure*. That happens when price breaks out in a given direction and moves no more than 5% before crossing the pattern and breaking out in the new direction. This type of failure can turn a small profit into a large loss if stops are not used.

Statistics

Table 10.2 shows general statistics for right-angled and descending broadening formations.